



An SOP Guide To

DAILY BIAS

@CASPER_SMC
@ETHAN_ICT

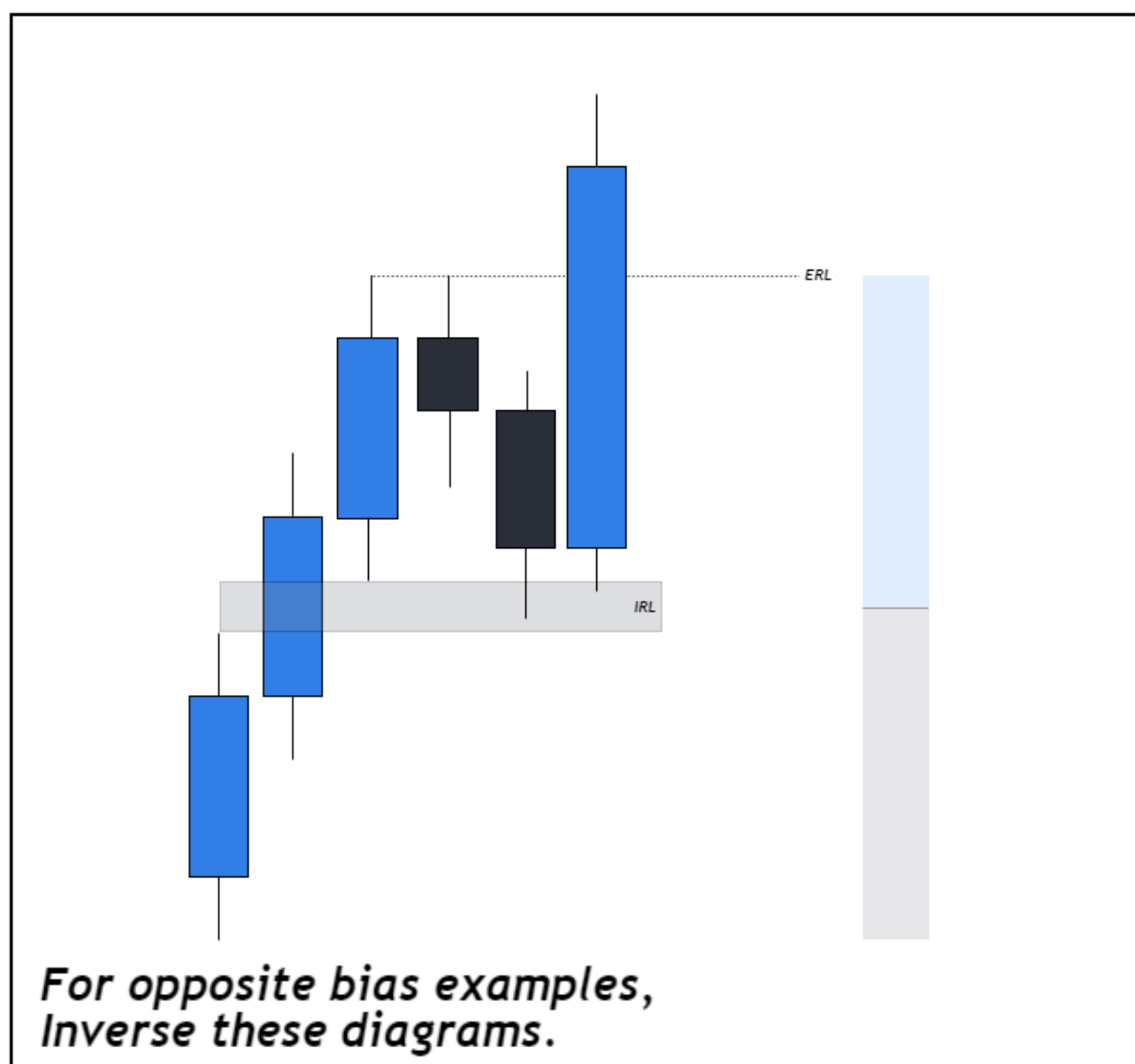
@SmartMoneyCourse

IRL & ERL

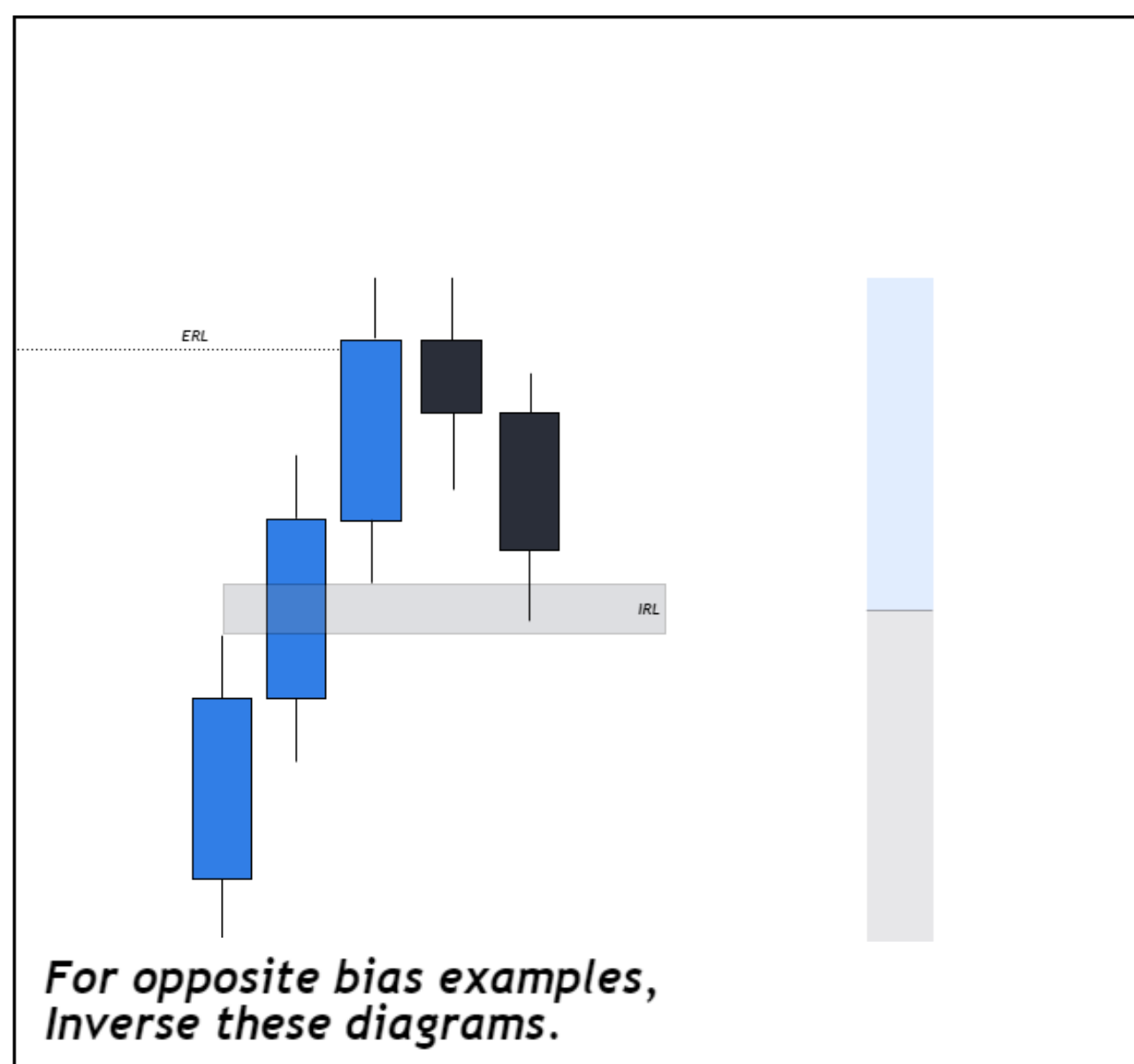
Step 1



IRL TO ERL



ERL TO IRL



WHAT IT IS

IRL is Internal Range Liquidity, and ERL is External Range Liquidity. To simplify things we can look at IRL as Fair Value Gaps and ERL as Highs and Lows.

SIGNIFICANCE

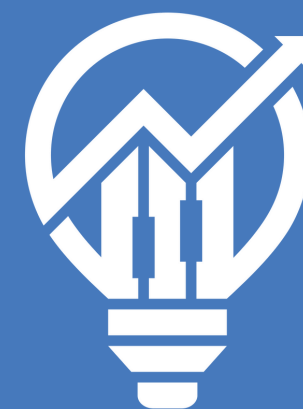
The significance lies within how IPDA operates. The market is in a never ending cycle of alternating between Internal and External Range liquidity. You may have also heard of this as the market only rebalances inefficiencies or reaches for liquidity. We use IRL & ERL to simplify this concept.

APPLICATION

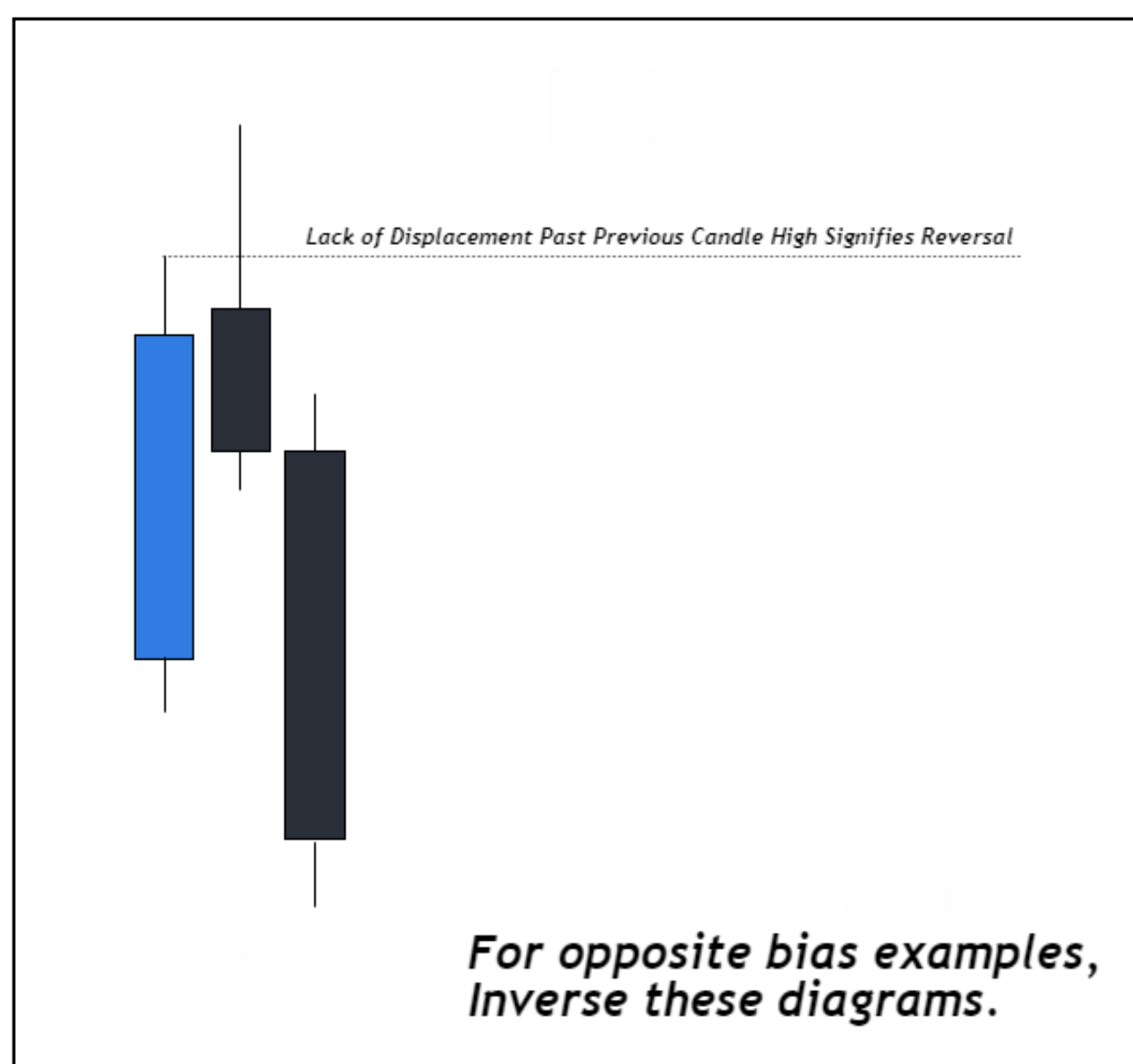
The greatest way to apply this concept is to utilize it on the HTFs and time based liquidity. This includes, but is not limited to, the Monthly, Weekly, and Daily charts. Ask yourself, has price tapped into a Fair Value Gap or has price taken out liquidity? Your next draw is most likely the one that hasn't been tapped into yet. Internal -> External & Internal -> External. Rinse and Repeat.

TIME BASED LIQUIDITY

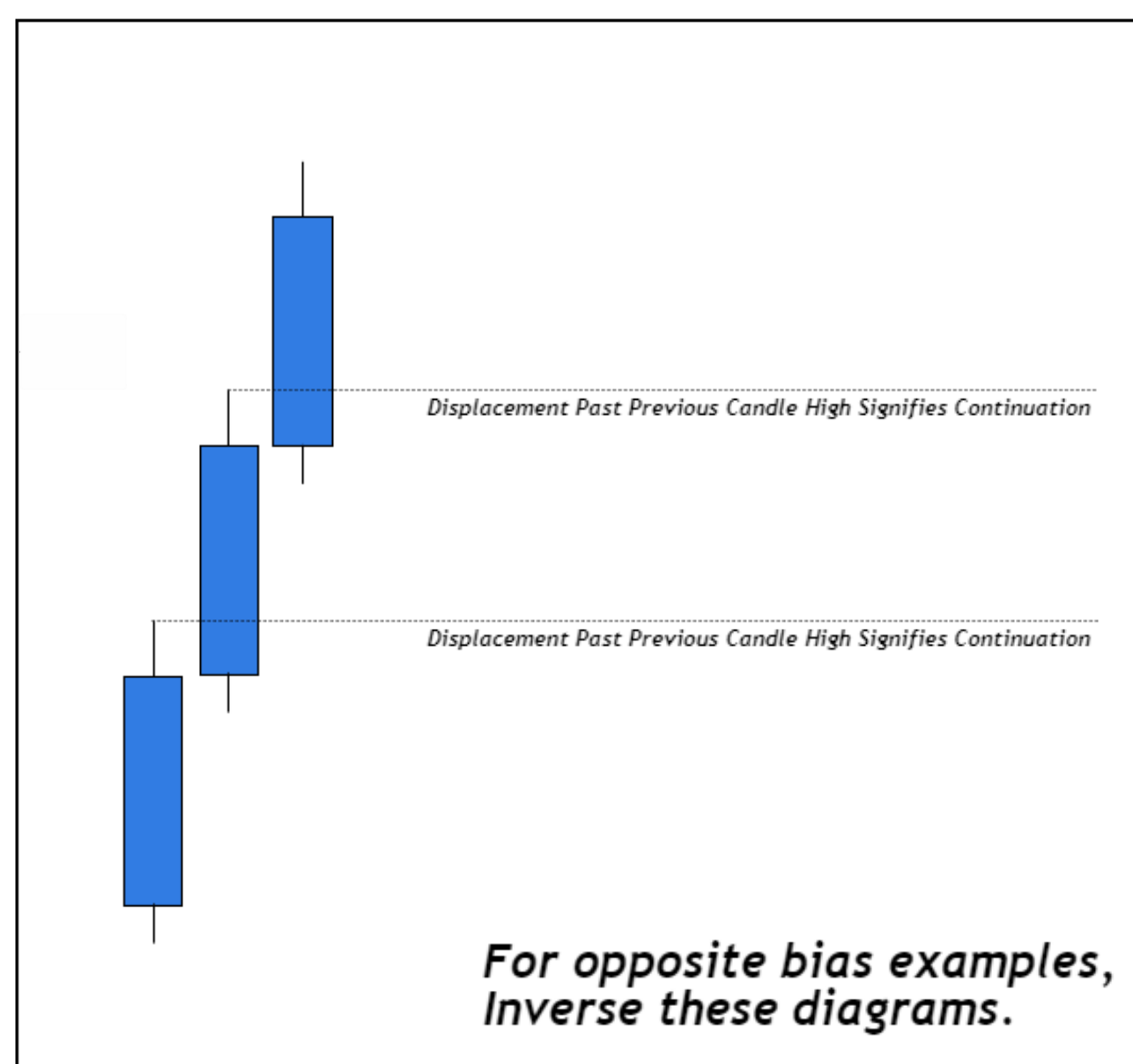
Step 2



REVERSAL



CONTINUATION



WHAT IT IS

Every candlestick has a time based liquidity. The main time based liquidity that we will be focusing on is the previous weekly/daily candle high and low.

SIGNIFICANCE

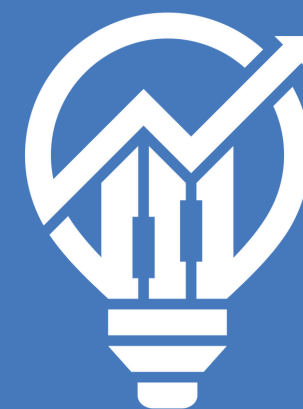
The significance lies within how price usually trades in relation to time. When we are seeking out continuation in the market, we can look at the previous weekly/daily high/low as support and resistance. These are the key levels at which high probability Market Maker Models form.

APPLICATION

The way that we will be implementing this concept into developing daily bias is by referring to Time Based Liquidity when either Internal Range Liquidity or External Range Liquidity have been traded into.

LTF STRUCTURE

Step 3

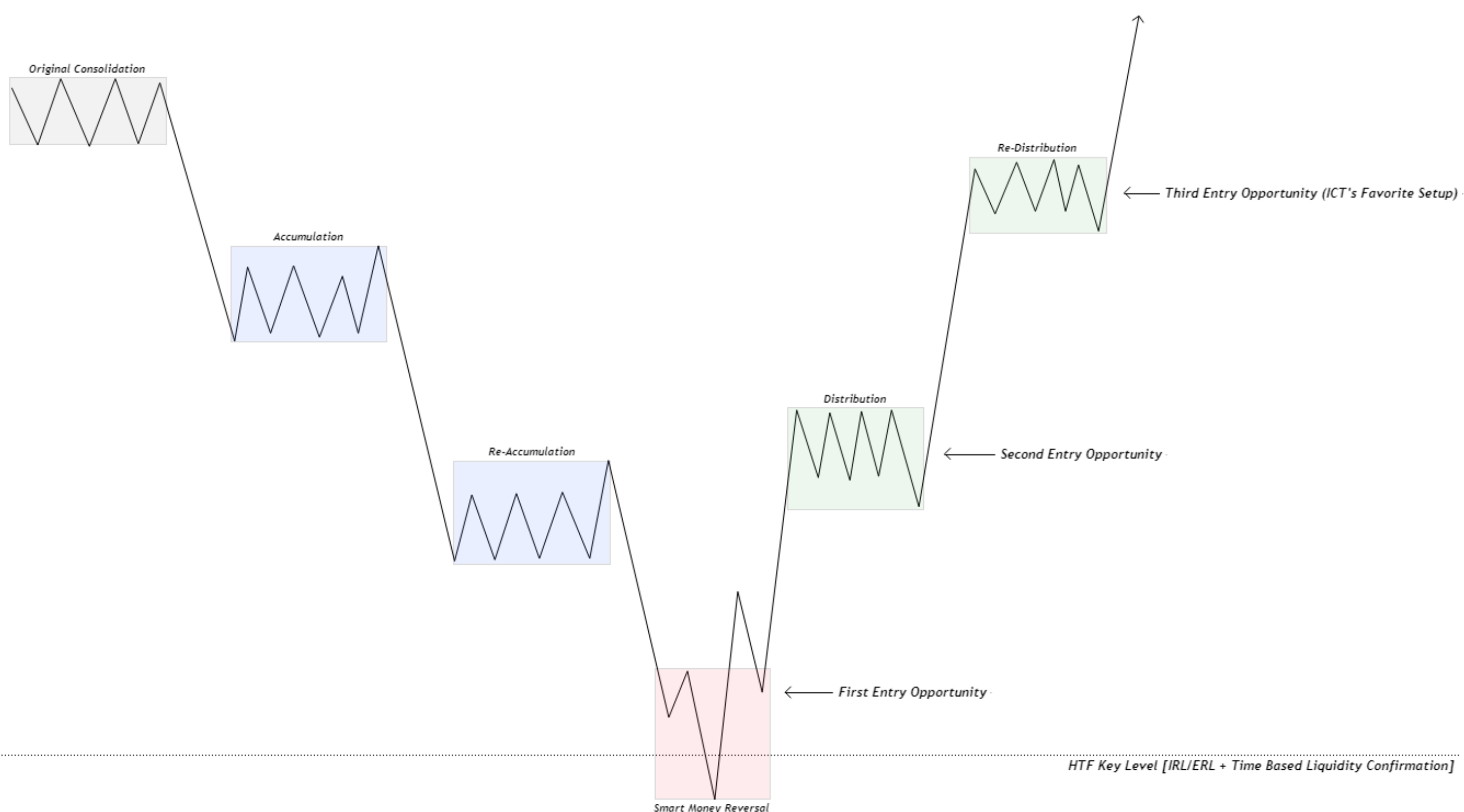


NARRATIVE IS KEY

Now that you have determined your daily bias (higher timeframe narrative), this is where LTF models have high probability of working.

From these key areas of the higher timeframes, this is where high probability market maker models form, thus making LTF models extremely effective.

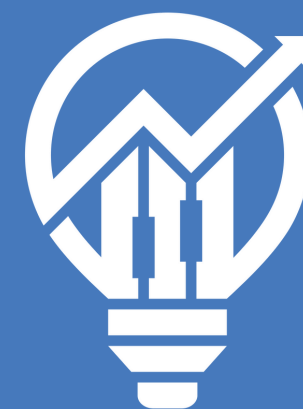
By framing our LTF structure off of HTF levels, we are no longer afraid of retracements in the market, rather, we look at these retracements as opportunities to add to our positions.



**For opposite bias examples,
Inverse these diagrams.**

OPENING PRICES

Step 4 [Optional Confluence]



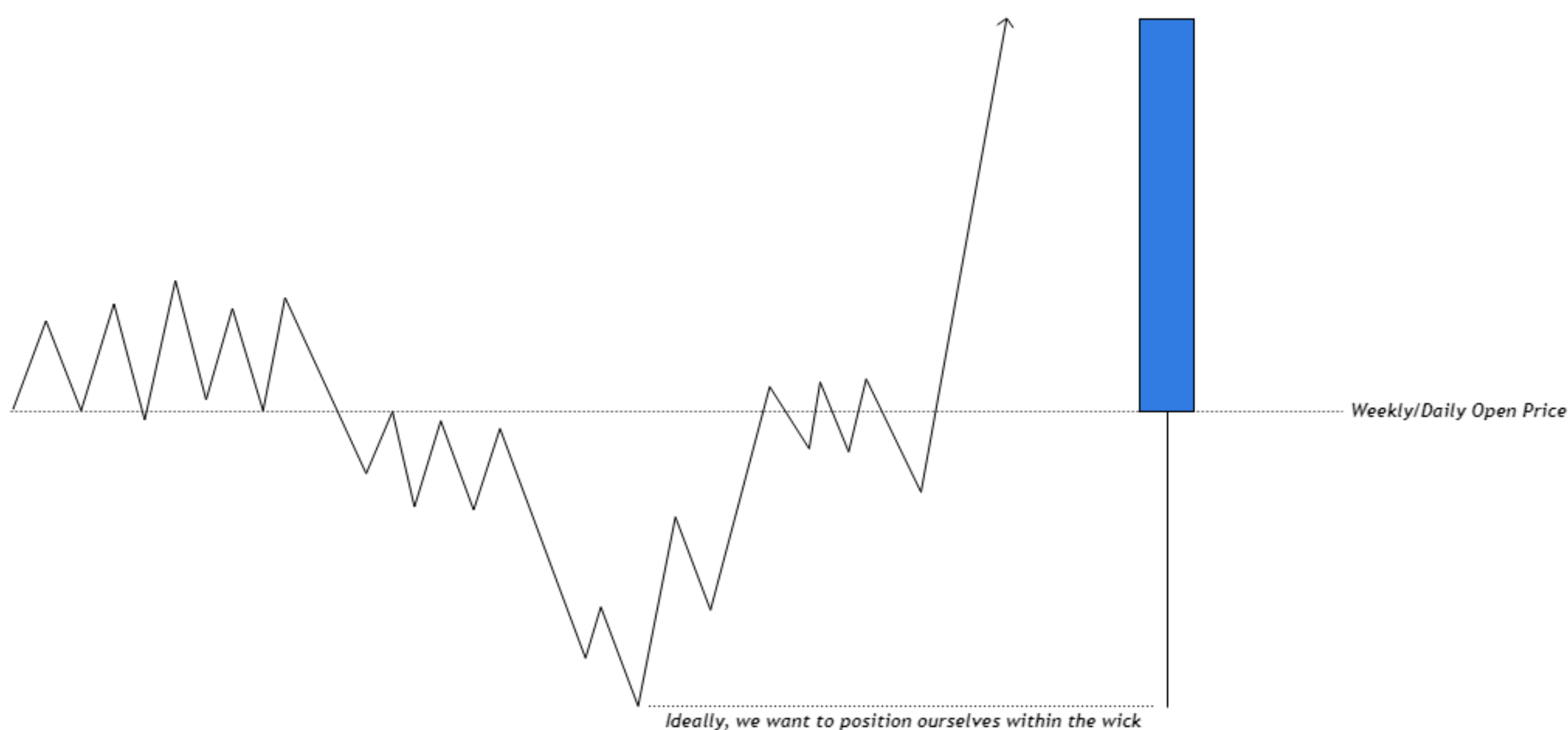
POWER OF 3

Further confluence to confirm bias is to use the opening prices of the Weekly candle or Daily candle.

The Opening Prices that you will be paying attention to are:

- Weekly Open: Monday 18:00 EST Open Price
- Daily Open: 00:00 EST Open Price (Midnight Opening Price)

We can refer to these price levels as time based Premium & Discount. If bullish, it is ideal to enter longs below the Opening Price. Vice versa, if bearish, it is ideal to enter shorts above the Opening Price.



***For opposite bias examples,
Inverse these diagrams.***

EXAMPLE

Step 1 - IRL & ERL

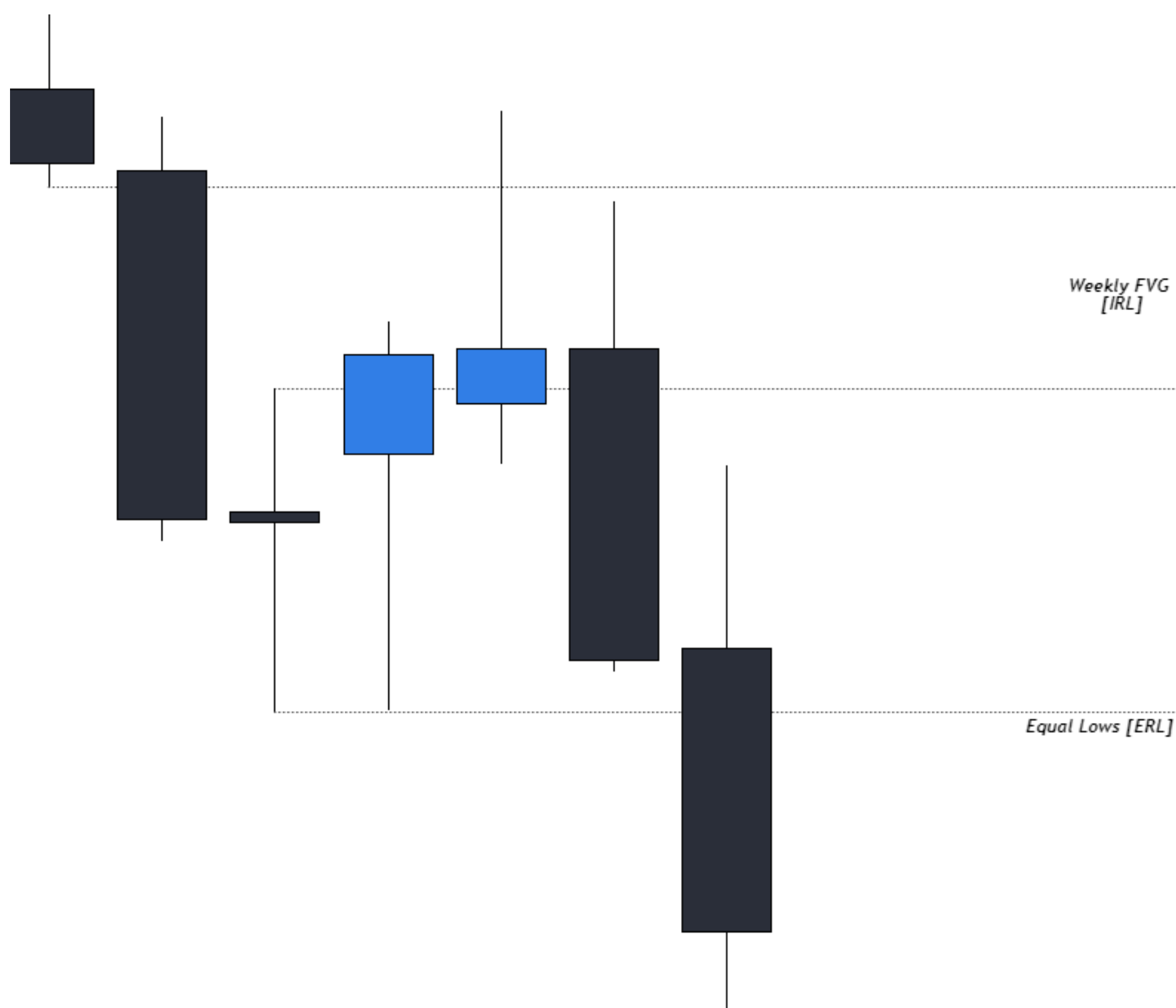


INTERNAL OR EXTERNAL?

The first step is to identify whether price is trading into internal or external range liquidity.

Once this is determined, we can begin to have an expectation in mind.

In this example, we are going to study how price trades from IRL to ERL. As shown below, price trades into a fair value gap, which in our simplified terms is IRL. From here we can move onto step two.



*For opposite bias examples,
Inverse these diagrams.*

EXAMPLE

Step 2 - Time Based Liquidity

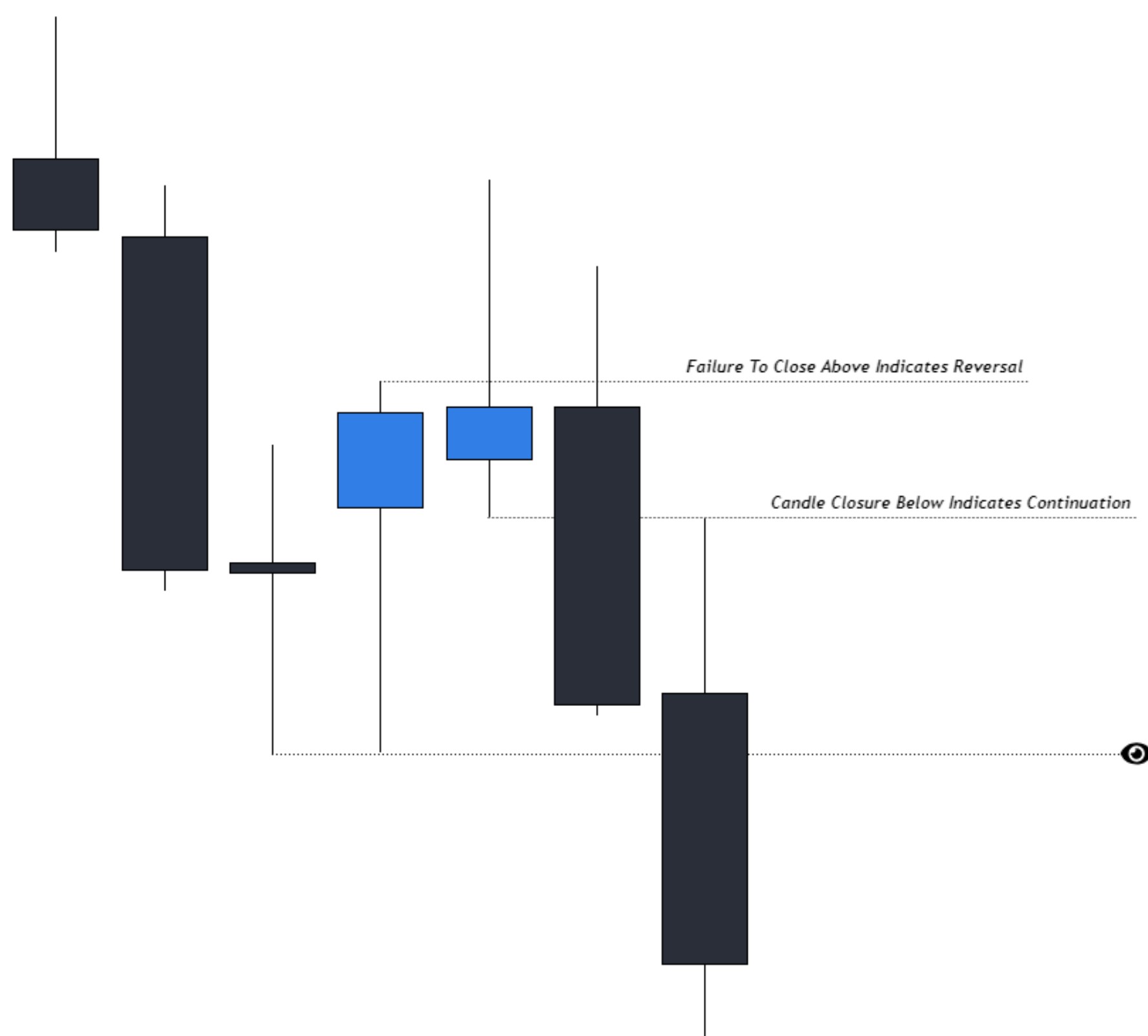


DISPLACEMENT OR MANIPULATION?

The second step is to identify whether price is displacing past the previous weekly/daily candle or if it is just sweeping liquidity of the previous candle.

In this example, we can see that price begins to struggle closing above previous candle highs, which helps us identify that price may be seeking lower prices.

We are focusing on the down close candle immediately after the up close candle because we need to make sure that the previous candle failed to displace higher. Once this is confirmed, we can begin to anticipate for LTF Structure to present bearish.



*For opposite bias examples,
Inverse these diagrams.*

EXAMPLE

Step 3 - LTF Structure

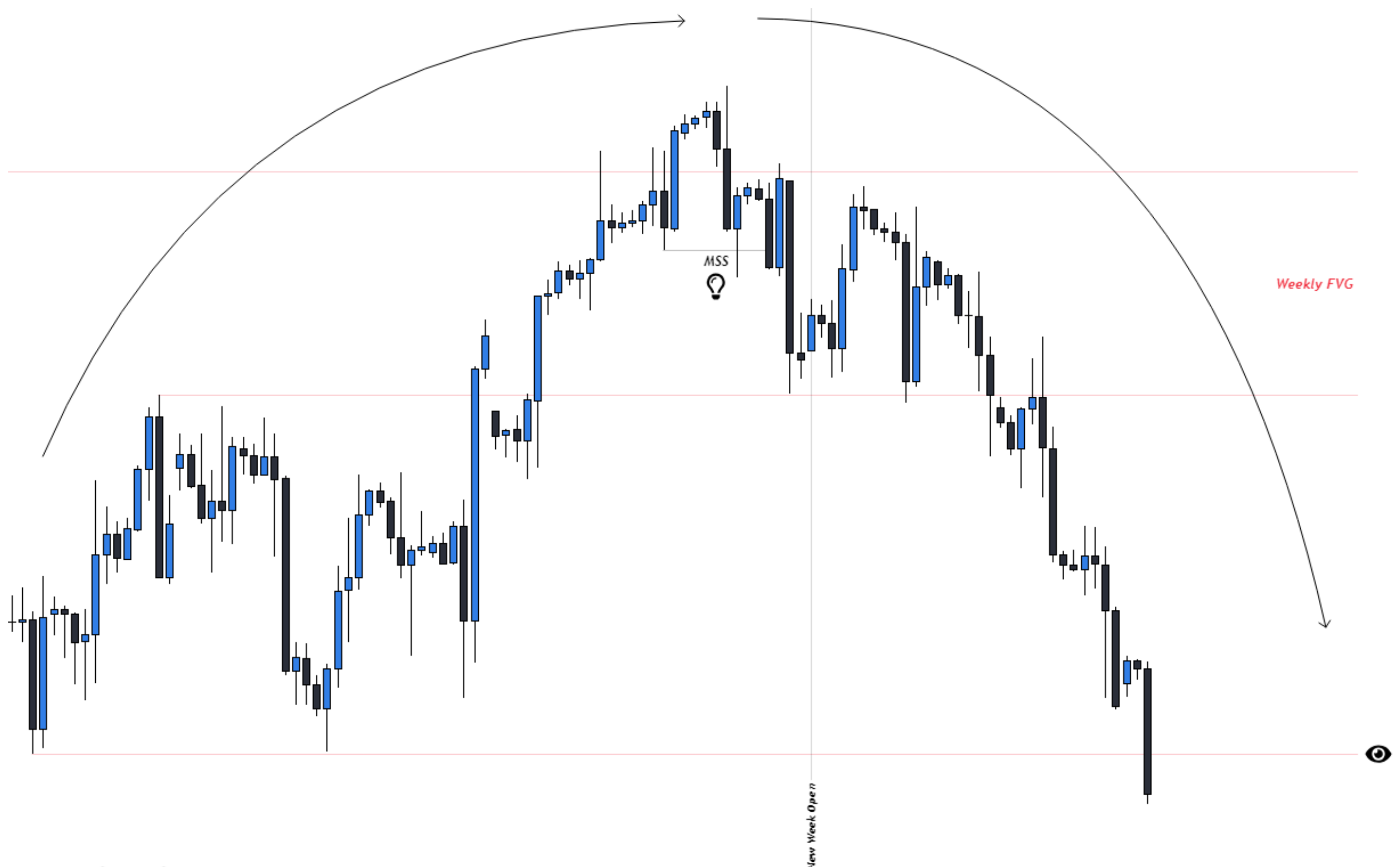


LTF STRUCTURE

The third step is to drop down to a lower timeframe relative to the HTF you are looking at. If looking at Weekly, use H4. If looking at Daily, use H1.

In this example, from the LTF we are looking for bearish structure to present itself so that we can find key areas within this structure to enter short positions.

Within this LTF structure, you will be able to spot MMXMs easier and all the LTF entry models you know and love will reveal themselves.



*For opposite bias examples,
Inverse these diagrams.*

HOMEWORK

Daily Bias



HOMEWORK 1

In the blank space below, what are the three steps presented in this PDF to determine Daily Bias?

What is the Optional Step?

How would we utilized the Optional Step of the process?

HOMEWORK

Daily Bias



HOMEWORK 2 - STEP 1

Is this chart going from IRL to ERL or ERL to IRL?

(Annotate the most recent price move)



HOMEWORK

Daily Bias



HOMEWORK 2 - STEP 2

What is time based liquidity telling you in this chart?

Pay attention to previous candle highs and lows.



HOMEWORK

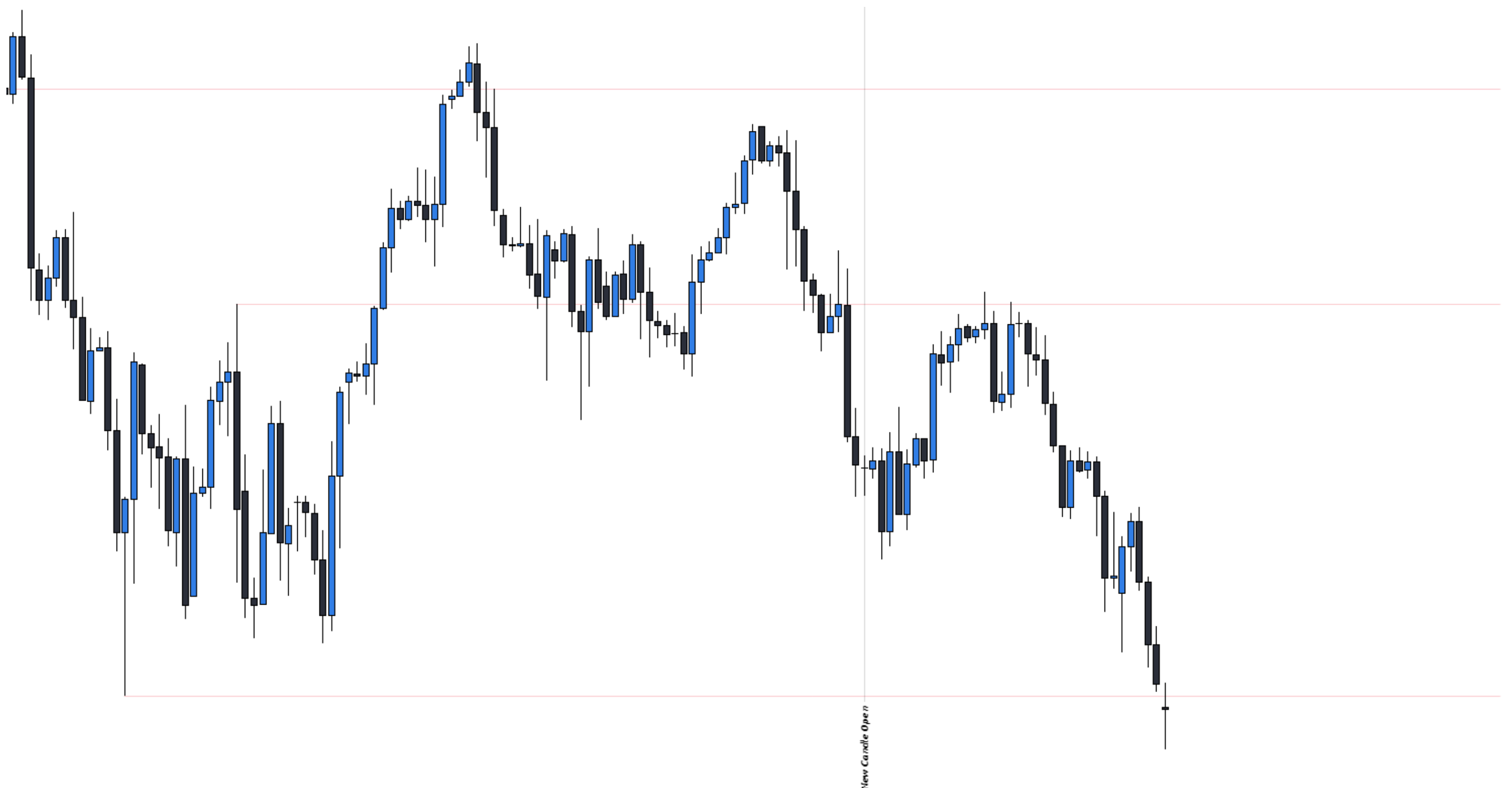
Daily Bias



HOMEWORK 2 - STEP 3

Annotate all aspects of the LTF Structure:

- What are the red levels annotating?
- Market Structure Shift?
- Market Maker Model?
- Entries Based On Your Model?





HOMework 2 ANSWER - STEP 1

Is this chart going from IRL to ERL or ERL to IRL?

(Annotate the most recent price move)

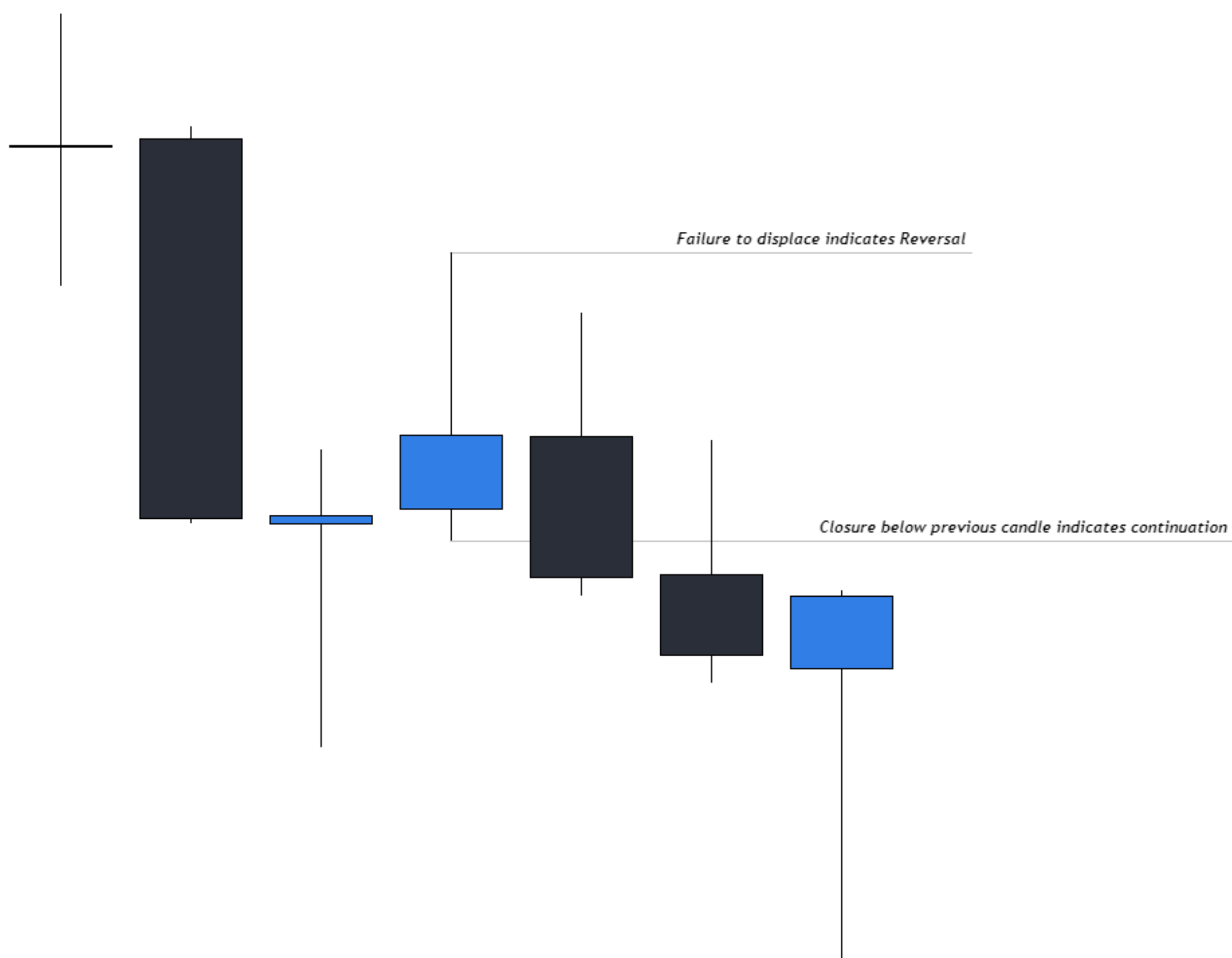




HOMework 2 ANSWER - STEP 2

What is time based liquidity telling you in this chart?

Pay attention to previous candle highs and lows.





HOMEWORK 2 ANSWER - STEP 3

Annotate all aspects of the LTF Structure:

- What are the red levels annotating?
- Market Structure Shift?
- Market Maker Model?
- Entries Based On Your Model?

